



Deere & Company

NYSE : DE · \$158.7B mkt cap · 270M sh · \$8.28B cash, \$13.8B debt · \$8.28B cash; ~\$13.8B modeled equipment-ops debt (excludes the ~\$45B captive Mature-lender; see pushback); ~270M shares; Revenue \$45.7B FY25 (-12%, third down-year off the FY23 \$61.3B peak); GAAP op margin 14.0% Company (trough); FCF ~\$6.1B (~13%); ~\$577, YTD ~+10.5%, TTM ~+19%; 52-week \$433-\$674 (ATH \$660 Feb 2026), ~26x trough FCF DCF

\$586.88

THE CENTRAL QUESTION

Has Deere's stock already priced the ag-cycle recovery off the trough, or does the precision-ag recurring-revenue mix structurally lift mid-cycle margins beyond what ~26x trough FCF embeds?

Deere trades at ~\$156B (~\$577, +10.5% YTD into the cycle low) — ~26x trough FCF on \$45.7B revenue down 12% in the third year of an ag down-cycle, GAAP operating margin compressed to 14.0%, FCF ~\$6.1B. The DCF asks whether the recovery is already priced: the modal case says largely yes (base -23%) — a full multiple on trough earnings already discounts the upturn. The bull is the cycle turning plus precision ag de-cyclicalizing margins. The finding: -21.8%, quality bought rich near a trough.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$451.41 expected fair value today  
-23.1% vs spot \$586.88

FORWARD COMPOUNDED VALUE

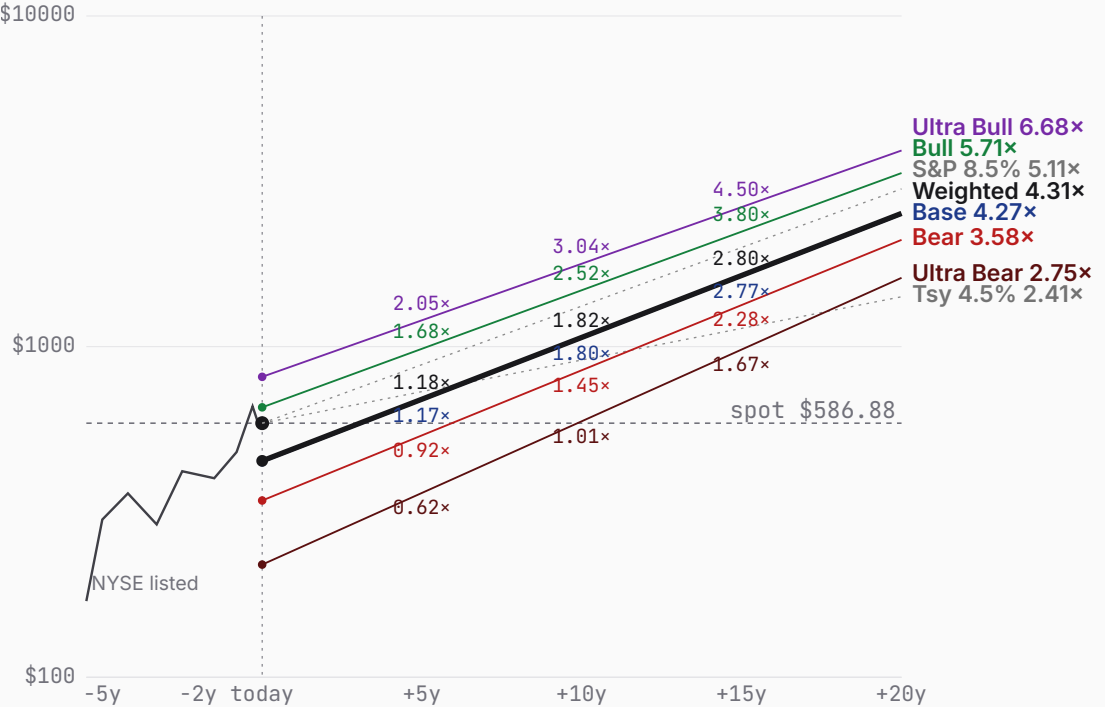
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$693.69   | \$1,066.80 | \$1,641.90 | \$2,529.04 |
| 1.18x spot | 1.82x spot | 2.80x spot | 4.31x spot |

WEIGHTING RATIONALE

- Ultra Bear 14% Deeper, longer ag recession; trough deepens; ~\$219 (-62%).
- Bear 27% Recovery is slow; trough margins stick; ~\$342 (-41%).
- Base 34% Cycle recovers as priced; mix nudges margins; ~\$447 (-23%).
- Bull 17% Cycle turns + precision ag de-cyclicalizes; ~\$655 (+13.5%).
- Ultra Bull 8% Precision-ag platform re-rates the cycle away; ~\$810 (+40%).

Bull (17%) + Ultra Bull (8%) together contribute \$176.24 — 39% of the \$451.41 expected value despite 25% combined probability. Today's spot (\$586.88) sits 30% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$219.23       | BEAR                                        | \$342.52       | BASE                                        | \$447.05       | BULL                                        | \$655.36       | ULTRA BULL                                   | \$810.42       |
|----------------------------------------------|----------------|---------------------------------------------|----------------|---------------------------------------------|----------------|---------------------------------------------|----------------|----------------------------------------------|----------------|
|                                              | -62.6% vs spot |                                             | -41.6% vs spot |                                             | -23.8% vs spot |                                             | +11.7% vs spot |                                              | +38.1% vs spot |
| CAGR +1.1% WACC 10.5%<br>CAGR +1.1% Prob 14% |                | CAGR +4.0% WACC 9.5%<br>CAGR +4.0% Prob 27% |                | CAGR +6.2% WACC 9.0%<br>CAGR +6.2% Prob 34% |                | CAGR +8.2% WACC 8.5%<br>CAGR +8.2% Prob 17% |                | CAGR +10.0% WACC 8.2%<br>CAGR +10.0% Prob 8% |                |
| Deeper, longer ag recession.                 |                | Recovery is slow; trough margins stick.     |                | Cycle recovers as priced; mix helps.        |                | Cycle turns + precision ag de-cyclicalizes. |                | Precision-ag platform re-rates the cycle.    |                |

PROBABILITY WEIGHTS

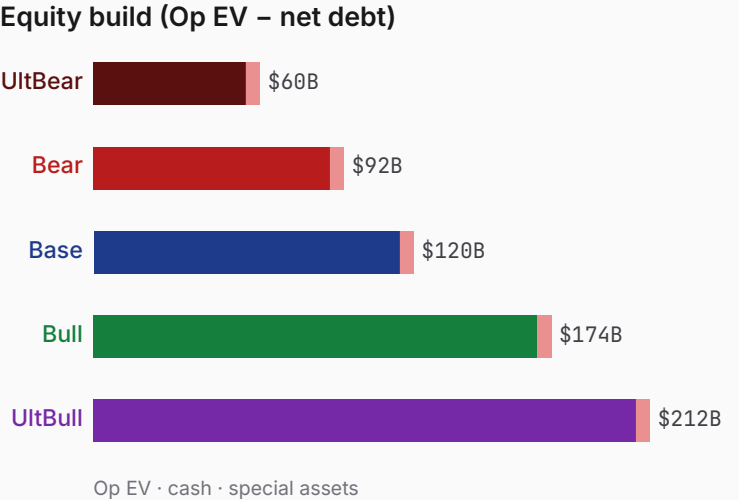
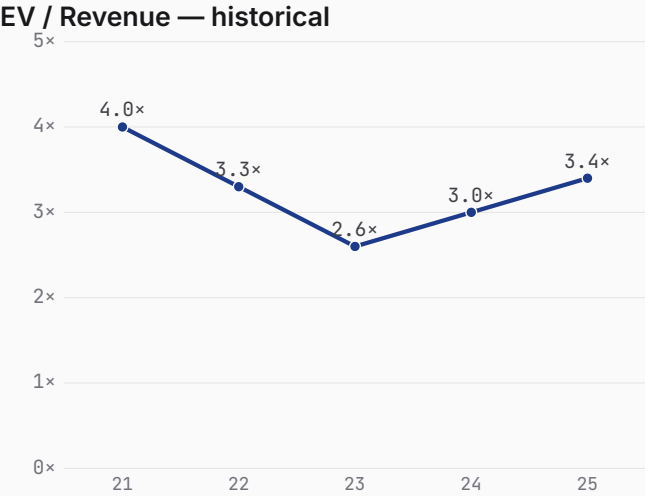
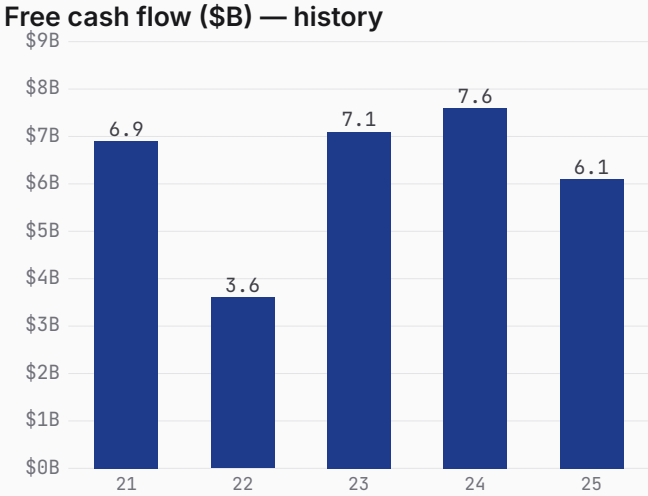
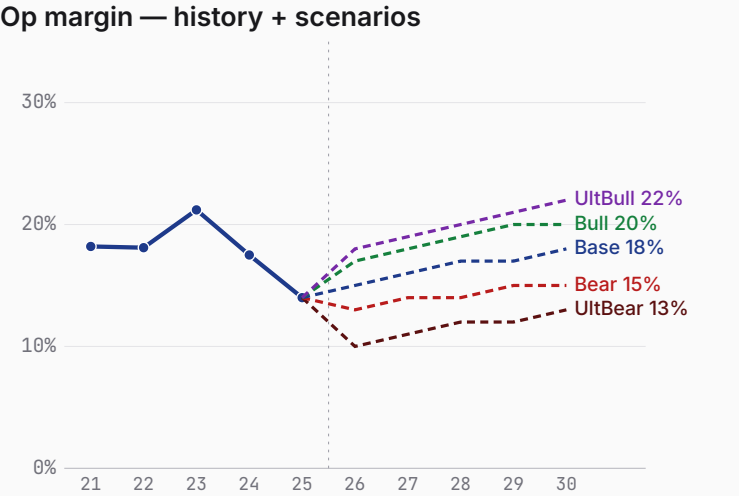
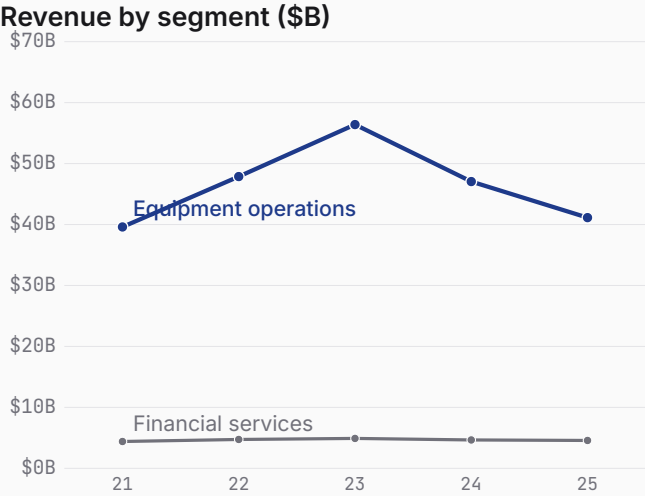
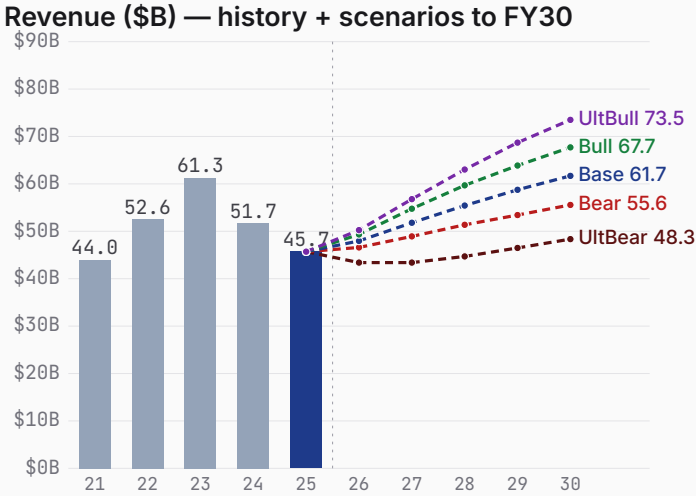
Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$451.41 (-23.1% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                                                                              | \$219.23       | BEAR                                                                                                                                                                                                                                                                                                                                                               | \$342.52       | BASE                                                                                                                                                                                                                                                                                                                                              | \$447.05       | BULL                                                                                                                                                                                                                                                                                                                                      | \$655.36       | ULTRA BULL                                                                                                                                                                                                                                                                                                                  | \$810.42       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                                                                                                         | -62.6% vs spot |                                                                                                                                                                                                                                                                                                                                                                    | -41.6% vs spot |                                                                                                                                                                                                                                                                                                                                                   | -23.8% vs spot |                                                                                                                                                                                                                                                                                                                                           | +11.7% vs spot |                                                                                                                                                                                                                                                                                                                             | +38.1% vs spot |
| Probability 14%                                                                                                                                                                                                                                                                                                                                                                                                         |                | Probability 27%                                                                                                                                                                                                                                                                                                                                                    |                | Probability 34%                                                                                                                                                                                                                                                                                                                                   |                | Probability 17%                                                                                                                                                                                                                                                                                                                           |                | Probability 8%                                                                                                                                                                                                                                                                                                              |                |
| Deeper, longer ag recession.                                                                                                                                                                                                                                                                                                                                                                                            |                | Recovery is slow; trough margins stick.                                                                                                                                                                                                                                                                                                                            |                | Cycle recovers as priced; mix helps.                                                                                                                                                                                                                                                                                                              |                | Cycle turns + precision ag de-cyclicalizes.                                                                                                                                                                                                                                                                                               |                | Precision-ag platform re-rates the cycle.                                                                                                                                                                                                                                                                                   |                |
| WHY 14%                                                                                                                                                                                                                                                                                                                                                                                                                 |                | WHY 27%                                                                                                                                                                                                                                                                                                                                                            |                | WHY 34%                                                                                                                                                                                                                                                                                                                                           |                | WHY 17%                                                                                                                                                                                                                                                                                                                                   |                | WHY 8%                                                                                                                                                                                                                                                                                                                      |                |
| The genuine bear: large-ag is already guided -15-20% with weak farm income, the FY26 net-income guide (\$4.5-5.0B) is roughly half the peak, and a full multiple on trough earnings has no cushion if the trough deepens. 14% weight on a deeper/longer recession.                                                                                                                                                      |                | The cycle turns but a weak farm economy + the ~\$1.2B tariff drag keep margins near trough levels and the precision-ag mix immaterial. 27% as the plausible 'recovers but slowly' path given the maintained-but-halved FY26 guide.                                                                                                                                 |                | Requires the cycle to recover on a normal timeline with the mix nudging mid-cycle margins higher - consistent with management calling 2026 the bottom and the C&F/small-ag recovery already underway. 34% as the central outcome; the recovery is real but discounted.                                                                            |                | The cycle bottom + operating leverage on recovery + a precision-ag recurring-revenue mix structurally lifting mid-cycle margins - the swing factor playing out. ~17% weight on the de-cyclicalization being real.                                                                                                                         |                | Everything works - cycle recovery AND operating leverage AND precision-ag recurring revenue scaling into a platform re-rate. ~8%, the long-duration tail.                                                                                                                                                                   |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                                                            |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                       |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                      |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                              |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                |                |
| The down-cycle extends rather than bottoms: large-ag (Production & Precision Ag) keeps falling past the guided -15-20% as farm income stays depressed, used-equipment inventories overhang new sales, and tariffs (~\$1.2B FY) compound the squeeze. Revenue declines again before a shallow late-decade recovery; operating margin troughs near 10-13% and the recurring-revenue mix is too small to cushion the drop. |                | The cycle bottoms but the recovery is muted: large-ag stabilizes rather than snaps back, Construction & Forestry and small-ag carry the early upturn, and net price discipline holds, but tariffs and a soft farm economy keep operating margin in the mid-teens. Precision ag grows but stays a small share. Revenue recovers low-single-digit to ~\$56B by FY30. |                | The modal path: 2026 is the bottom (per CEO John May), the ag cycle recovers along its normal arc, and structurally higher trough margins plus a growing precision-ag recurring-revenue stream (See & Spray, autonomy, JDLink ARR) lift operating margin back toward 17-18% by FY30. Revenue compounds mid-single-digit off the trough to ~\$60B. |                | The cycle inflects with operating leverage and the precision-ag thesis lands: See & Spray, autonomous tractors and JDLink convert into a meaningful recurring software/ARR stream that lifts structural margins and dampens the boom-bust swing. Operating margin reaches ~20% on a faster recovery; revenue compounds high-single-digit. |                | The full second act: autonomy and a See & Spray / JDLink software platform scale into a high-margin recurring layer large enough that the market re-rates Deere from a cyclical toward a precision-agriculture technology compounder, while a strong cycle recovery adds leverage on top. Operating margin pushes past 22%. |                |
| A capital-goods cyclical caught a year early in a worse-than-feared recession earns a low-teens trough multiple - > DCF ~\$219 (-62%). The captive-lender complexity and a richer-than-peer starting valuation amplify the downside.                                                                                                                                                                                    |                | DCF ~\$342 (-41%) — a slow, margin-capped recovery doesn't support a full multiple on trough FCF; the de-rate toward a normal mid-cycle valuation is warranted if the mix doesn't shift.                                                                                                                                                                           |                | DCF ~\$447 (-23%) — the recovery the bull narrates is largely what today's price already embeds; at a full multiple on trough FCF the modal mid-cycle outcome lands below spot. Roughly the expected normalization, already priced.                                                                                                               |                | DCF ~\$655 (+13.5%) - if recurring precision-ag revenue genuinely de-cyclicalizes the mix and the cycle turns with leverage, the full multiple is justified and the stock re-rates above spot. The core of the bull.                                                                                                                      |                | DCF ~\$810 (+40%) - the platform mix earns a premium multiple and the cyclicity discount compresses; ~8% probability, the asymmetric upside above a justified full price.                                                                                                                                                   |                |

Deere & Company business snapshot

Bear \$342.52 Base \$447.05 Bull \$655.36

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Oct · FQ2 FY2026 (ended May 3) results



Sources: SEC XBRL company facts (CIK 315189), Deere FQ2 FY2026 release (revenue \$13.37B/+5%, EPS \$6.55, Production & Precision Ag -14%/op profit -39% = the trough, FY26 net-income guide \$4.5-5.0B, ~\$1.2B FY tariff headwind). NOTE: modeled debt (\$13.8B equipment ops) EXCLUDES Deere's ~\$45B captive-finance borrowings (offset by finance receivables), so the DCF simplifies a company with a large captive lender. FCF = revenue x FCF margin off FY25; Gordon terminal; vs peers.

# Deere & Company 7 Powers · the moat, scored

Bear \$342.52 Base \$447.05 Bull \$655.36

**Arena.** Farm + construction equipment - Deere (scale leader, dealer network + installed base, emerging precision-ag tech) vs CNH Industrial, AGCO, Kubota in ag and Caterpillar/Komatsu in construction; auditing a scale + cornered-resource Power against the ag cycle and tariffs.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here

Network Economies

Counter-Positioning

Switching Costs

Branding

Cornered Resource

Process Power

Dominant Power: #1 global ag-equipment maker with R&D, manufacturing and parts scale peers can't match; structurally higher trough margins than prior cycles.

JDLink/Operations Center data network is growing but not yet a hard network effect; emerging with precision ag.

The incumbent, not the disruptor; precision-ag autonomy is more extension than counter-position.

Real: an installed fleet, dealer service relationships, JDLink data lock-in and operator familiarity make a farmer's next purchase sticky.

The green brand commands a price premium and resale value, but doesn't override the ag cycle.

The exclusive franchised dealer network + the largest installed base - hard to replicate, the distribution moat under the scale Power.

Nascent: precision-ag/autonomy (See & Spray, autonomous tractors) is a building manufacturing+software capability, unproven as a durable margin shifter at scale.

PEER SET

**CNH Industrial** 0% gr · 10% mgn · ~10x P/E  
Case IH / New Holland - the #2 full-line ag player; the direct large-ag share comp, also cycle-pressured.

**AGCO** 0% gr · 8% mgn · ~12x P/E  
Fendt/Massey Ferguson - pure-play ag, smaller and more cyclical; the precision-ag (PTx) challenger.

**Caterpillar (CAT)** 5% gr · 20% mgn · ~18x P/E  
Construction/mining scale leader; overlaps Deere's C&F segment, the construction-cycle comp.

**Kubota** · ~12x P/E  
Strong in compact/small-ag and Asia; smaller-equipment share pressure, not the large-ag core.

THREAT VECTORS · FALSIFIERS

- Scale Economies** · The ag down-cycle + tariffs  
**falsifier:** Large-ag declines worsen and operating margin stays stuck in the low-teens, showing the trough is deeper/longer than priced.
- Process Power** · CNH PTx / AGCO precision-ag challengers  
**falsifier:** A rival's precision-ag platform wins data/autonomy share, capping the recurring-revenue mix that the bull needs to de-cyclicalize margins.
- Cornered Resource** · Direct-to-farmer / dealer-model disruption  
**falsifier:** Right-to-repair pressure or new distribution erodes the dealer-network + JDLink lock-in that anchors switching costs.

COMPETITIVE READ

Deere's scale Power is durable (high) - the #1 ag-equipment maker with a cornered dealer network, the largest installed base, and real switching costs from fleets and JDLink data; the structurally higher trough margins this cycle are evidence the moat is widening. The Audit: the live threats are the ag cycle itself plus ~\$1.2B of tariffs (which compress margins regardless of moat), and the contest over whether precision ag (See & Spray, autonomy) scales into a recurring-revenue layer that de-cyclicalizes the mix - or whether rivals (CNH PTx, AGCO) split that prize. That squares with the -21.8% finding: the franchise is excellent, but bought at ~26x trough FCF the modal recovery is already priced, and only the bull's de-cyclicalization (or a strong cycle turn) justifies the full multiple.

Deere & Company show your work

Bear \$342.52 Base \$447.05 Bull \$655.36 · Weighted \$451.41 (-23.1%)

| ULTRA BEAR                                |       |        |       |        | BEAR                                      |       |        |       |        | BASE                                      |       |        |       |        | BULL                                      |       |        |        |        | ULTRA BULL                                |       |        |        |        |
|-------------------------------------------|-------|--------|-------|--------|-------------------------------------------|-------|--------|-------|--------|-------------------------------------------|-------|--------|-------|--------|-------------------------------------------|-------|--------|--------|--------|-------------------------------------------|-------|--------|--------|--------|
| \$219.23                                  |       |        |       |        | \$342.52                                  |       |        |       |        | \$447.05                                  |       |        |       |        | \$655.36                                  |       |        |        |        | \$810.42                                  |       |        |        |        |
| ASSUMPTIONS                               |       |        |       |        | ASSUMPTIONS                               |       |        |       |        | ASSUMPTIONS                               |       |        |       |        | ASSUMPTIONS                               |       |        |        |        | ASSUMPTIONS                               |       |        |        |        |
| 5y revenue CAGR (%)                       |       |        |       |        | +1.1                                      |       |        |       |        | +4.0                                      |       |        |       |        | +6.2                                      |       |        |        |        | +8.2                                      |       |        |        |        |
| Year-5 op margin (%)                      |       |        |       |        | 13.0                                      |       |        |       |        | 15.0                                      |       |        |       |        | 18.0                                      |       |        |        |        | 20.0                                      |       |        |        |        |
| WACC (%)                                  |       |        |       |        | 10.5                                      |       |        |       |        | 9.5                                       |       |        |       |        | 9.0                                       |       |        |        |        | 8.5                                       |       |        |        |        |
| Terminal growth (%)                       |       |        |       |        | 2.0                                       |       |        |       |        | 2.5                                       |       |        |       |        | 2.5                                       |       |        |        |        | 3.0                                       |       |        |        |        |
| 5y revenue CAGR (%)                       |       |        |       |        | +1.1                                      |       |        |       |        | +4.0                                      |       |        |       |        | +6.2                                      |       |        |        |        | +8.2                                      |       |        |        |        |
| Starting revenue (\$B)                    |       |        |       |        | 45.68                                     |       |        |       |        | 45.68                                     |       |        |       |        | 45.68                                     |       |        |        |        | 45.68                                     |       |        |        |        |
| Scenario probability (%)                  |       |        |       |        | 14                                        |       |        |       |        | 27                                        |       |        |       |        | 34                                        |       |        |        |        | 17                                        |       |        |        |        |
| 5-YEAR DCF · \$B                          |       |        |       |        | 5-YEAR DCF · \$B                          |       |        |       |        | 5-YEAR DCF · \$B                          |       |        |       |        | 5-YEAR DCF · \$B                          |       |        |        |        | 5-YEAR DCF · \$B                          |       |        |        |        |
| FY                                        | Rev   | Margin | FCF   | PV FCF | FY                                        | Rev   | Margin | FCF   | PV FCF | FY                                        | Rev   | Margin | FCF   | PV FCF | FY                                        | Rev   | Margin | FCF    | PV FCF | FY                                        | Rev   | Margin | FCF    | PV FCF |
| FY26                                      | 43.40 | +10%   | +4.34 | +3.93  | FY26                                      | 46.59 | +13%   | +5.59 | +5.11  | FY26                                      | 47.96 | +15%   | +6.24 | +5.72  | FY26                                      | 49.33 | +17%   | +6.91  | +6.37  | FY26                                      | 50.25 | +18%   | +7.54  | +6.97  |
| FY27                                      | 43.40 | +11%   | +4.77 | +3.91  | FY27                                      | 48.92 | +14%   | +6.36 | +5.30  | FY27                                      | 51.80 | +16%   | +7.25 | +6.10  | FY27                                      | 54.76 | +18%   | +8.21  | +6.98  | FY27                                      | 56.78 | +19%   | +9.09  | +7.76  |
| FY28                                      | 44.70 | +12%   | +5.36 | +3.98  | FY28                                      | 51.37 | +14%   | +6.68 | +5.09  | FY28                                      | 55.43 | +17%   | +8.31 | +6.42  | FY28                                      | 59.69 | +19%   | +9.55  | +7.48  | FY28                                      | 63.03 | +20%   | +10.71 | +8.46  |
| FY29                                      | 46.49 | +12%   | +5.58 | +3.74  | FY29                                      | 53.42 | +15%   | +7.48 | +5.20  | FY29                                      | 58.75 | +17%   | +8.81 | +6.24  | FY29                                      | 63.87 | +20%   | +10.22 | +7.37  | FY29                                      | 68.70 | +21%   | +12.37 | +9.02  |
| FY30                                      | 48.35 | +13%   | +6.29 | +3.81  | FY30                                      | 55.56 | +15%   | +7.78 | +4.94  | FY30                                      | 61.69 | +18%   | +9.25 | +6.01  | FY30                                      | 67.70 | +20%   | +11.51 | +7.65  | FY30                                      | 73.51 | +22%   | +13.23 | +8.92  |
| Σ PV explicit FCF                         |       |        |       |        | +19.37                                    |       |        |       |        | +25.64                                    |       |        |       |        | +30.50                                    |       |        |        |        | +35.85                                    |       |        |        |        |
| + PV terminal (g 2.0%)                    |       |        |       |        | 45.78                                     |       |        |       |        | 72.36                                     |       |        |       |        | 94.83                                     |       |        |        |        | 143.34                                    |       |        |        |        |
| EQUITY BUILD · \$B & PER SHARE            |       |        |       |        | EQUITY BUILD · \$B & PER SHARE            |       |        |       |        | EQUITY BUILD · \$B & PER SHARE            |       |        |       |        | EQUITY BUILD · \$B & PER SHARE            |       |        |        |        | EQUITY BUILD · \$B & PER SHARE            |       |        |        |        |
| Operating EV                              |       |        |       |        | \$65.15B                                  |       |        |       |        | \$98.00B                                  |       |        |       |        | \$125.33B                                 |       |        |        |        | \$179.19B                                 |       |        |        |        |
| + Cash & investments                      |       |        |       |        | \$8.28B                                   |       |        |       |        | \$8.28B                                   |       |        |       |        | \$8.28B                                   |       |        |        |        | \$8.28B                                   |       |        |        |        |
| – Net debt                                |       |        |       |        | \$13.80B                                  |       |        |       |        | \$13.80B                                  |       |        |       |        | \$13.80B                                  |       |        |        |        | \$13.80B                                  |       |        |        |        |
| = Equity value                            |       |        |       |        | \$59.63B                                  |       |        |       |        | \$92.48B                                  |       |        |       |        | \$119.81B                                 |       |        |        |        | \$173.67B                                 |       |        |        |        |
| FY30 shares (M)                           |       |        |       |        | 272                                       |       |        |       |        | 270                                       |       |        |       |        | 268                                       |       |        |        |        | 265                                       |       |        |        |        |
| = Expected per share                      |       |        |       |        | \$219.23                                  |       |        |       |        | \$342.52                                  |       |        |       |        | \$447.05                                  |       |        |        |        | \$655.36                                  |       |        |        |        |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |        |       |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |        |        |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |        |        |        |
| +5y                                       |       |        |       |        | +10y                                      |       |        |       |        | +15y                                      |       |        |       |        | +20y                                      |       |        |        |        | +5y                                       |       |        |        |        |
| \$361.17                                  |       |        |       |        | \$595.01                                  |       |        |       |        | \$980.24                                  |       |        |       |        | \$1,614.90                                |       |        |        |        | \$1,201.84                                |       |        |        |        |
| 0.62×                                     |       |        |       |        | 1.01×                                     |       |        |       |        | 1.67×                                     |       |        |       |        | 2.75×                                     |       |        |        |        | 2.05×                                     |       |        |        |        |



Deere & Company People · Opportunity · Context · Deal

Bear \$342.52 Base \$447.05 Bull \$655.36

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

John C. May 6 yrs in seat

0.3% LOW  
insider ownership key-person risk

**Capital allocation (realized)**  
John May has been CEO since 2019 and Chairman since 2020 (a career Deere executive at a ~188-year-old company). Capital allocation is disciplined through the ag cycle: FY2025 net income \$5.0B (~29% in the downturn) and ~\$8B free cash flow funded a large buyback (\$18B program, ~\$10B executed, plus a new authorization in 2026) while the dividend was held flat (\$6.48) rather than cut. The ~\$43B consolidated debt is overwhelmingly the John Deere Capital captive-finance receivables book, not industrial leverage.

**Incentive alignment**  
May's FY2025 compensation was ~\$27.9M, ~92% at-risk and ~54% performance-based; say-on-pay drew ~92% support. Insiders hold ~0.3% as a group — the aggregator "12% insiders" figure simply miscategorizes Gates' Cascade stake. Largest holder Cascade (~10.8%) holds a board seat (Heuberger).

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder
- combined Chair & CEO (May), mitigated by an independent lead director (Feight) and a 10-of-11 independent board
- board declassified — annual elections (a governance positive)
- the largest holder (Gates' Cascade, ~10.8%) holds a board seat — disclosed, not control
- pronounced ag-equipment cyclicality (FY2025 net income ~29%; dividend frozen) — a financial, not governance, flag

PEOPLE READ

Clean blue-chip governance: single-class one-vote, a 10-of-11 independent declassified board, an independent lead director, ~92% say-on-pay, and heavily at-risk pay. The combined Chair/CEO is mitigated exactly as a comparable mega-cap's is — and there is no founder concentration (insiders ~0.3%). Key-person risk is low for a 188-year-old, professionally-managed institution; the real risk is cyclical, not governance.

THE FOUR LEGS

**People** observable composite · 1–5

**Opportunity**  
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market purchase = the deal: entry price vs. the scenario distribution (the ~21.8% finding) + position sizing.

Deere & Company supporting analysis · disclaimers · glossary

Bear \$342.52 Base \$447.05 Bull \$655.36

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**Modeled debt EXCLUDES the ~\$45B captive lender.**  
The DCF carries only ~\$13.8B equipment-ops debt; Deere Capital's ~\$45B (offset by finance receivables) is left out, so the equity bridge is approximate.
- 2

**A full multiple on trough earnings already prices the recovery.**  
~26x trough FCF (~17x near the bottom) embeds the upturn; buying the trough is right, but paying full leaves the modal at ~23%.
- 3

**Precision ag is the de-cyclicalizing bull, not yet the base.**  
See & Spray / autonomy / JDLink build recurring ARR, but the mix is still small (PPA ~39%) - it shifts margins only if it scales.
- 4

**2026 is management's called bottom.**  
CEO John May calls 2026 the bottom; C&F (+29%/+48%) and small-ag (+16%) recover while large-ag (-14%) troughs - leading legs turn first.
- 5

**Tariffs are a real, sized drag.**  
~\$200M/qtr (~\$1.2B FY) tariff headwind, partly mitigated via reshoring/USMCA, caps the near-term margin recovery.

FALSIFICATION TRIGGERS

Bull validation

large-ag returns to order-book growth · operating margin recovers toward 18-20% on leverage · precision-ag recurring/ARR revenue grows to a disclosed, material share · net price holds +1.5-2%

Bear validation

large-ag declines worsen past ~20% as farm income stays weak · used-equipment inventories overhang new sales · operating margin stays stuck in the low-teens · tariff drag widens beyond ~\$1.2B

Reframe needed

if the precision-ag recurring mix fails to scale and margins keep reverting to the boom-bust cycle, re-rate the terminal toward a normal mid-cycle capital-goods multiple - not a de-cyclicalized platform

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Production & Precision Ag (PPA)** — Deere's largest segment - large tractors, combines, planters + the precision-ag tech layer; -14%/op profit ~39% this quarter, the cycle trough and swing-factor segment.

**Precision ag / recurring revenue** — Software-and-service layer (See & Spray targeted spraying, autonomous tractors, JDLink connectivity/ARR) that adds recurring revenue and, the bull argues, de-cyclicalizes margins.

**Ag down-cycle** — The boom-bust farm-equipment cycle driven by crop prices and farm income; revenue fell from a \$61.3B FY23 peak to \$45.7B FY25 - the trough this memo prices off.

**Captive finance (Deere Capital)** — Deere's in-house lender financing dealer/customer equipment purchases (see pushback for the modeled-debt caveat).

**FCF margin** — Free cash flow / revenue (~13% FY25 at the trough); the mature-DCF swing factor - whether cycle recovery + the precision-ag mix lift it durably above the trough.